pushing through resistance and moving higher; sometimes, price just gives up and rolls back downhill.

Volume. The volume trend occasionally echoes the price trend by rounding downward, too. You can see this in Figure 55.2, although it is not as pronounced as it sometimes is. However, a dome shape predominates (not that it matters).

Breakout direction, confirmation. The breakout is upward when price closes above the top of the left rim (if it has one). If price closes below the bottom of the chart pattern (before first closing above the left rim), then you don't have a valid rounding bottom.

If the rounding bottom doesn't have a left rim, then use a close above the right rim as the confirmation or breakout price.

Focus on Failures

Although rounding bottoms have low failure rates, they occasionally fail, and **Figure 55.3** shows an example of one. This rounding bottom (points A and B) occurs in a downward price trend, but the bottom is not as smooth (rounded looking) as I like to see. The start of the pattern, A, is not well defined because the pause lasts just a few days. The corresponding end, B, marks the beginning of a small handle attached to the rounding bottom.

Price climbs high enough to surpass peak A, staging an upward breakout (at B), but the rise soon falters. Peaks and valleys over the 7 or 8 months leading to the start of the rounding bottom presented just too much overhead resistance (shown by the horizontal line across the chart). The stock tried to pierce it but failed and dropped, eventually reaching a low of 8.56 (not shown).